

LIF pitch deck

PITCH — LIF — VERDICT

PROPOSED — PENDING ADJUDICATION — No purchase now at \$44.66; both benches land flat, and the reopen is a price gate at $\leq \$36$ (blue) / $\sim \$32$ (red), not a permanent rejection.

What we believe

Life360 sells a family-location subscription app. The stock has fallen about 60% from its 52-week high of \$112.54 and last traded at \$44.66 (2026-08-21 close; the evidence pack's \$45.82 was the prior session — see the checking table). The business underneath that fall is still growing fast and is generating more cash than it did a year ago.

The specific things we think are true:

- Revenue grew about 38% year over year in the first half of 2026. Cash generated by operations grew faster than that: \$41.0M for the half against \$25.4M a year earlier, up 62%.
- Stripping out the two large non-cash charges that grew this year — stock compensation and the amortization of intangible assets from the Nativo acquisition — operating profit improved, from about \$4.2M to about \$6.8M. The reported operating *loss* is real but is a bookkeeping outcome of those two lines, not a sign that the underlying unit economics broke.
- The balance sheet is sound but thinner than it looks. Gross cash and short-term investments are \$465.0M, but there is \$320M of convertible debt due 2030, so true net cash is \$145M.
- At \$44.66 the enterprise value is about \$3.48B, or roughly 5.2 times this year's expected revenue.

What we do **not** believe, and this is the whole reason there is no purchase: that 5.2x is a mistake the market is making. Our own estimate of the growth rate sits inside the range Wall Street already publishes. We are not disagreeing with anyone.

What the market believes

The sell side models FY26 revenue of \$673.1M (range \$662.0–\$684.7M) — *above* the company's own guidance midpoint of \$667.5M. That implies second-half revenue of \$371.0M, up 37.2%. Nineteen analysts cover it, all rate it a buy, the average target is \$61.48, and the *lowest* published target is \$47 — above where the stock trades. Nobody in the published record models a downside case.

The market also believes the headline earnings number. Consensus FY26 EPS is \$1.37. That cannot be an accounting-standard (GAAP) number: reported GAAP earnings per share for the first half were about \$0.09–0.18. Roughly \$1.00 of that \$1.37 is stock compensation added back. The entire published forecast rests on treating equity issuance to employees as if it were free.

So the market believes: fast growth, real profitability, temporary multiple compression after a violent derating.

Why we might have edge

Three places where we know something the published record does not clearly reflect:

1. **The cash-versus-accounting split runs in the bull's favour, not the bear's.** The reported net profit for the half was produced by a \$15.7M tax *benefit* landing on a \$7.8M pre-tax loss. Our red bench called that “manufactured.” Our blue bench opened the balance sheet and found a recognised deferred tax asset of \$149.5M, up \$23.1M in six months, with no valuation allowance against it. The practical meaning: the company will pay close to zero cash tax for years while booking a GAAP tax expense. Future reported earnings will *understate* cash earnings. That is the opposite of the low-quality-profit read.
2. **The dilution number nobody published.** Shares outstanding went from 79,359,589 to 81,216,330 in six months — up 2.34%, roughly 4.7% annualised — against a buyback of 314,762 shares (0.39%). The buyback offsets about 17% of the dilution: \$6.6M returned per quarter against \$22.8M issued. This is a cleaner, harder framing of the compensation problem than the usual “stock comp is high” complaint, and it is the fact that should bind our position size.
3. **A detector we run misfired here, and knowing why is itself edge.** Our backlog-deceleration screen fired: the deferred revenue balance grew only 12.6% year over year against subscription revenue up 31%. Blue disconfirmed it. Total deferred revenue is \$51.5M — about 40 days of subscription revenue — because Life360 bills mostly monthly through the Apple and Google app stores, so the balance only ever captures the annual-plan cohort. Worse for the bear case, the same signal decayed monotonically (+20.8% → +16.3% → +15.4% → +12.6%) *through four quarters in which the company beat and raised*. It has a documented false-positive record on this specific issuer.

Why it might be priced in

Because it is. This is the honest centre of the deck.

Our estimate of organic growth (roughly 24.5–31%, after backing out the acquired advertising revenue) lands inside the sell-side range. There is no gap between our number and theirs. The lowest target on the street is above the current price. When our work agrees with consensus and the price already reflects consensus, there is nothing to be paid for.

The valuation itself is not obviously wrong: 5.2 times revenue for a business growing ~25–31% organically, with no demonstrated operating leverage at the accounting line, ~4.7% annual net dilution, and a \$320M repayment in 2030 against \$145M of net cash, is a defensible price rather than a distressed one.

And the 60% fall is not evidence of mispricing. The market watched the company add \$43.6M of quarterly revenue and convert it into *negative* incremental operating profit, and repriced the long-run margin accordingly. That is a rational response to a real observation, even if we think the observation is partly an accounting artifact.

One divergence *does* exist — on quality, not on the growth rate. A \$1.37 consensus EPS that is ~\$1.00 of add-back is a genuine disagreement. But it is a disagreement that argues for being short or absent, not long. Our red bench established it and then, correctly, declined to trade it.

What could go wrong

(Written as if we had entered at a reopen band and lost money.)

Failure 1 — The multiple keeps compressing and there is no floor to point at. We buy at \$36 because it is 4.2x revenue and “below the street’s lowest.” The market decides that a business diluting shareholders 4.7% a year with no accounting-line profit is worth 3x, then 2.5x. At 2.5x the stock is roughly \$22. Nothing in the filings breaks; every quarter prints fine; we simply paid a multiple that was cheap only relative to a peer set that also derated. **This narrative has a partial tripwire** (a Q3 print with positive operating income and stock comp growing slower than revenue would falsify the bear read) **but no tripwire at all for the multiple itself** — there is no filing, no data series, and no detector we own that signals “the market has decided to pay less for this category.” The unknown-unknown class is *regime repricing of an entire growth cohort* — a change in the discount rate applied to unprofitable-on-paper consumer software, which is not an issuer-level event and therefore never appears on any disclosure plane we watch. We would learn about it only from the price, which is the same as learning about it from the loss.

Failure 2 — Apple or Google changes the terms, and we find out from a keynote, not a filing. Life360’s product is a family-location app distributed and billed through two app stores. A platform-level decision — bundling comparable location-sharing into the operating system, a change in store economics, a privacy rule on children’s location data — would hit the subscription base directly. There is no 8-K for a competitor’s product announcement. Compounding this: the one detector that could independently test whether user demand is deteriorating, our app-review-velocity monitor, **failed to run** — it never resolved the App Store ID for the app, so we have no user-sentiment series at all. This is the court’s largest evidentiary hole and it sits precisely on the axis this failure mode travels.

Failure 3 — The advertising acquisition impairs, and the tax asset reverses with it. Nativio closed 2026-01-05 for \$120M and put \$173.6M of goodwill plus \$77.5M of intangibles on the books — together \$251.1M, about 41% of book equity. Second-half advertising revenue has to bridge \$56.3–73.3M for that carrying value to hold. If it misses, we get a write-down, and a write-down that signals lower future profitability can also force a valuation allowance against the \$149.5M deferred tax asset — a further ~\$150M non-cash hit and, more damagingly, a management admission that future profits are no longer more-likely-than-not. Neither bench set a tripwire for this before I wrote this deck; it is armed below.

The reflexive and structural leg. Our size is irrelevant to the tape: the US line trades roughly \$9M a day, and a 0.5%-of-book position is a rounding error against that. Short interest is 3.6% of float but days-to-cover is 13.95, so exit is not a constraint either. The structural risk is entirely in our own decision rule, and it is a familiar trap: **blue’s reopen condition is a pair — price at or below \$36 and a Q3 print showing positive operating income with stock comp growing slower than revenue. Those two conditions are anticorrelated.** A clean Q3 print is exactly the event that prevents the stock from reaching \$36; a stock at \$36 most likely means the print was bad. Written as an AND, this gate is close to unfillable, and we will spend six months believing we have a live idea when we have a decorative one. Separately, our own doctrine pushes toward a starter position whenever the court is clean and no specific kill is named — here a kill is named (no disagreement with consensus at this price), so flat is correct, but the pull toward “just take a small one” is the pressure that would cause us to enter at \$44 and call it discipline.

If this position loses money, the most likely reason will be that we bought a cheap-looking multiple in a category the market had decided to stop paying for, and mistook agreement with consensus for an edge.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“First GAAP-profitable quarters”	Read the 10-Q income statement directly — SEC 10-Q R4	Q2’26 operating income –\$57K; H1’26 – \$8,135K vs +\$4,181K a year earlier. Net profit came from a \$15,661K tax benefit on a \$7,821K pre-tax loss	Refuted — the marketing letter and the audited statement say different things
That operating loss means margins are collapsing	Decomposed the \$12.3M swing	\$14.0M of it is higher stock comp, \$5.1M is Nativio intangible amortization. Excluding both, operating profit <i>rose</i> \$4.2M → \$6.8M. Cash from operations +61.6%	Refuted — our red bench compared a period carrying acquisition amortization against one with none
Stock comp is accelerating faster than revenue	XBRL ShareBasedCompensation direct pull	Q2’26 \$22,821K vs \$15,229K, +49.9%, against revenue +37.8%. But the metric built on it — adjusted EBITDA less stock comp — went \$5.1M → \$8.3M, +63%	Confirmed as fact, overstated as a kill. Red’s findings 1 and 2 are the same fact counted twice
Enterprise value / net cash	10-Q balance sheet R2 and debt note R17	\$320.0M zero-coupon converts due 2030-06-01, conversion price \$80.97 (stock is 45% below it); \$33.7M spent on hedges struck \$80.97/\$122.22, now worthless. Net cash \$145M, not the \$465M gross	Confirmed — our best work. The original brief’s EV omitted the debt entirely
Share count	Counted from the filing cover, not from a market-cap quotient	81,216,330 outstanding / ~85.6M diluted. The 244.44M figure on data sites is the Australian 3:1 depositary line	Our own brief was wrong — it derived shares by dividing market cap by price
Insider selling: “CEO sold 39.55% of his stake”	Read the actual Form 4 XML	He exercised 212,502 options at \$2.53/\$7.28/\$8.19 the same day, sold 250,000 at ~\$46.84. Direct holding fell 9%, not 39.55%, and he holds another	Refuted — the –39.55% was a data-vendor artifact. Residual adverse fact

Claim	How checked	Found	Confirmed?
		585,936 shares in trusts the brief omitted. About \$5.7M of the \$11.7M sale was exercise cost plus tax	stands: no 10b5-1 plan disclosed, so selling into a 26% decline was discretionary
Backlog is decelerating (our screen fired)	XBRL contract liability, current and noncurrent	Arithmetic confirmed and slightly worse on the total (+8.9%). But the balance is only 40 days of revenue because billing is monthly through app stores, and the identical signal fired through four consecutive beat-and-raise quarters	Screen mis-fired. Our red bench pulled only the current line and missed the noncurrent one
The tax benefit is low-quality	Blue opened the balance sheet	Deferred tax asset \$149,490K, up \$23,072K, no valuation allowance. Means near-zero cash taxes for years — quality runs the <i>other</i> way	Our red bench called it “manufactured” without checking
“At \$32, EV $\approx$ \$2.6B $\approx$ 3.9x FY27E”	Recomputed	$\$2.6B \div 3.9 = \$667M$, which is the FY26 guidance midpoint, not FY27. The label is wrong; on any FY27 estimate the multiple is lower	Bench arithmetic error, small, and in the bull’s favour
Tape figures	Pack vs bench	Pack said price \$45.82 and +23.8% off the low; both benches said \$44.66 and +20.7%. The benches used the 2026-08-21 close; the pack carried the prior session	Benches correct, pack one session stale. The automated warning on this was a false alarm
Growth is ~24.5% excluding advertising	10-Q segment note R11	The filed statements disclose geography only and state one operating segment. The subscription/hardware/advertising split exists only in the furnished shareholder letter, which is not part of the audited filing. Non-North-America revenue (essentially advertising-free) grew 30.9%	Confirmed gap; the 24.5% may be too harsh. Blue is right that you cannot extrapolate the 88% North American line from the 12% tail. Honest range: 24.5–31%
Independent unit count reconciles	Shareholder letter (furnished, not filed)	Paying Circles +27%, revenue per circle +5%, reconciles to subscription +31%	Confirmed arithmetically, but the source is unaudited — blue’s disconfirm of the backlog screen partly rests on a number the company chose to publish
User demand independent of company disclosure	app-review-velocity detector	Could not run. App Store ID never resolved	Not checked — open hole

PROPOSED ENTRY BANDS

No entry at \$44.66. No order staged. The courts say no, so what follows are reopen conditions.

- **First reopen — \$36.00 or below.** At \$36 the market cap is \$2.92B and the enterprise value \$2.78B, about 4.2x FY26 expected revenue of \$673M — below the lowest published sell-side target's implied multiple, and low enough that flat operating margin still clears. This is blue's band.
- **Second reopen — \$32.00 or below.** Fully diluted enterprise value $\approx$ \$2.59B. Red's band; red labelled it 3.9x FY27E, which is arithmetically 3.9x *FY26E* — on any FY27 estimate it is cheaper still.
- **Do not treat the reopen as an AND with the print condition.** Blue's condition was " $\leq$ \$36 and a Q3 print with positive operating income and stock comp growing slower than revenue." As written those two rarely co-occur — a good print prevents the price. Proposed to the adjudicator: treat them as two independent doors. Price at \$36 reopens the court on valuation. A qualifying Q3 print reopens the court on business quality *at whatever price then prevails*, with the multiple re-argued fresh.
- **If a reopen triggers, sizing is capped at 0.5% of book, entered in three calendar tranches**, with later tranches staged only on fills, never pre-staged. The binding constraint is the 4.7% annual net dilution, not the growth rate — we are buying a shrinking claim on a growing business, and the size should reflect that.
- **No trims or exits to define** — there is no position.
- **Catalyst date: 2026-11-09, Q3 2026 results. UNCONFIRMED** — this is derived from a data vendor, not from any company announcement. It is consistent with the observed Monday cadence (Mar 2, May 11, Aug 10) but no press release names it. That is roughly 54 trading days out, so nothing here is a race against a print.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 32.0 (deck-provisional: diluted EV $\sim$ \$2.59B; flat operating margin still clears at this price - red bench reopen band)
- filing watch: 8-K, 10-Q until 2027-02-19 (deck-provisional: Q3'26 results: test the specific pair - positive GAAP operating income AND stock comp growth below rev)
- dated pack LIF|2026-11-09: LIF: Q3 2026 results - vendor-derived from the Monday cadence (Mar 2 / May 11 / Aug 10), no company PR names it (date confirmed=False)
- dated pack LIF|2026-09-30: LIF: Q3 balance sheet date - the contract liability and advertising bridge measurement point (date confirmed=True)
- dated pack LIF|2030-06-01: LIF: \$320M zero-coupon convertible notes due; conversion price \$80.97 vs spot \$44.66, so cash repayment is the base case (date confirmed=True)

What remains unverified

- **The next earnings date.** 2026-11-09 is vendor-derived. No company release confirms it.

- **Every revenue-mix number in the bull case.** The subscription/hardware/advertising split, Paying Circles, and revenue per circle appear only in the furnished shareholder letter, which is explicitly *not* filed and not covered by the audit. The 10-Q gives geography and nothing else.
- **Whether the deferred revenue deceleration is benign.** Blue's explanation (monthly app-store billing, so the balance only captures annual plans) is well-argued and has a four-quarter false-positive record behind it, but there is no disclosed billing-mix breakdown to confirm it. Interpretation is plausible, not proven.
- **User-level demand.** No independent series exists — the review-velocity detector never ran.
- **FY27 consensus revenue.** Not in the pack; every forward multiple beyond FY26 in this deck is an inference.
- **Whether the tax benefit reflects durable profitability or a one-off release.** The deferred tax asset has no valuation allowance today, which is management's assertion that future profits are more likely than not. That assertion has not been tested by an auditor at year-end yet.
- **Import and supply-chain exposure on the Tile hardware line.** Customs triangulation was attempted and could not resolve shipper aliases.
- **Our own price basis.** Neither bench could reach the broker's price history — permission was denied — so both rely on the evidence pack plus one public quote source. No independent bar series exists behind any number in this deck.

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